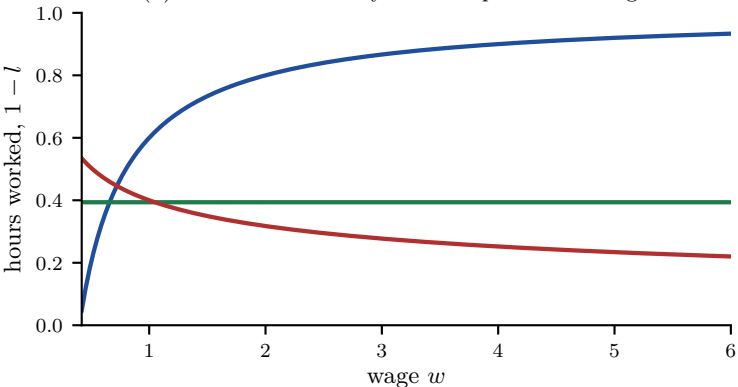


7.1(b) — what each utility function predicts as wages rise



- $u = c + \phi \log l$ (this exercise): $1-l = 1 - \phi/w$
- $u = \log c + \alpha \log l$: $1-l = 1/(1+\alpha)$, flat
- (7.2.4) with $\sigma = 2 > 1$: hours *fall* — the data's sign